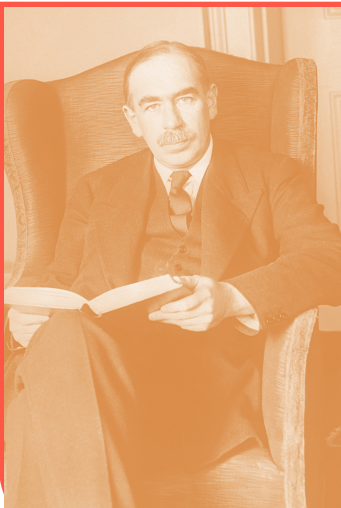


It's all relative

This level of absolute poverty is seldom found in countries in the developed world. But of course there are people who are relatively poor in even the richest countries. This kind of relative poverty (as opposed to absolute poverty) is when people cannot afford the things that are normal for the community they live in, and their standard of living is below what that society expects as a basic minimum. In these richer countries, the problems of relative poverty can be tackled by governments, by providing welfare payments to the sick and the unemployed, for example, and pensions for older people. They can also offer financial benefits to low-paid workers, and introduce laws to ensure employers pay a minimum wage.

In poorer countries, governments don't have the resources to provide for those living in poverty. They may also be caught in a "poverty trap," borrowing money to deal with their immediate problems, and not having anything left to develop their economies. So, they not only remain poor, but now have the additional burden of paying back the debt.



JOHN MAYNARD KEYNES (1883–1946)

Born in Cambridge, England, Keynes changed economists' view of the world with his pioneering macroeconomics. He was an economic adviser at the Peace Conference after World War I, and to the British government. During the Great Depression in the 1930s, he explained how governments could use taxes and regulations to lessen the effects of economic ups and downs, and avoid financial crises.



More than one billion people do not have access to a toilet.